

Optimize AI Governance: Choose Centralized or Hybrid Models

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Initiatives: Strategy, Risks and Opportunities; Establish Robust AI Governance and Organizational Trust

Determining whether to adopt a centralized, hybrid (federated), or decentralized AI governance operating model is a critical strategic decision. AI leaders must prioritize clear decision rights, accountability, and delegated authority to enable innovation and risk management as AI maturity grows.

Insights at a Glance

Selecting the right AI governance operating model is critical to sustainable AI success. The governance operating model is the mechanism that converts high-level principles into executable processes, ensuring that the organization can scale AI value without losing control of its risk posture. Centralized and hybrid (federated) models offer the strongest foundations, particularly for organizations facing regulatory, security, and accountability pressures.

- Centralized models provide consistent standards, strong risk management, and strategic alignment, making them ideal for organizations early in their AI journey, operating in highly regulated sectors, or requiring uniformity and cost efficiency. They could limit innovation and agility, and create bottlenecks.
- Hybrid models allow complex organizations to balance control with agility. Core standards and oversight are managed centrally, while business units are empowered to innovate and execute locally. This model enables efficient portfolio and resource management, strategic alignment, and scalability, but demands clear decision rights and strong coordination to avoid ambiguity. This is the most complex model.
- Decentralized models work well in inherently decentralized organizations, such as holding companies. For others, while supporting speed and local ownership, decentralization leads to inconsistent standards, duplicated efforts, and increased risk, making it less suitable for high-maturity or regulated environments.

Governance must be an enabler of value, not a bottleneck. Start with centralization to ensure stability and compliance. Shift to a hybrid model when you grow your AI maturity and literacy. A decentralized approach is acceptable only if it fully fits your culture. Always define and communicate accountability and decision rights to avoid ambiguity.

Strategic Planning Assumption

By 2028, 40% of organizations worldwide will adopt AI for their critical business, making AI governance the top AI requirement.

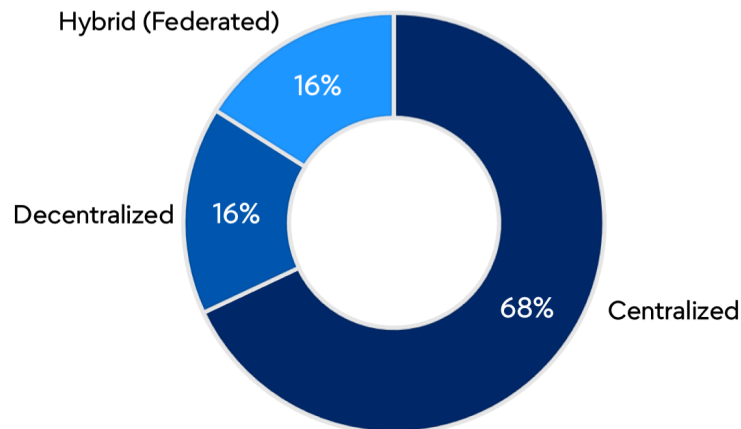
Through 2027, 60% of global enterprises will implement AI safety groups to oversee AI agent decision-making processes.

Issue Context

For organizations seeking effective and adaptive AI governance, a hybrid or centralized model offers the best foundation for success. Enterprises should consider the following model distinction for the fit into the organization's AI maturity, risk appetite, and existing culture:

- **Centralized:** A model where governance decisions, standards, and controls are established in a central authority.
- **Hybrid:** A balanced approach combining the benefits of centralized control with decentralized agility, ensuring that while overarching policies are maintained, local decision making is also encouraged.
- **Decentralized:** A model that empowers individual business units or teams to govern their own AI initiatives independently.

Centralized governance is most common among organizations of all AI maturity levels (see Figure 1). This is partially due to the fact that a lot of AI implementations are currently top-down, supported by the mandate of the CEO and the Board.

Figure 1: AI Governance Operating Models Today**AI Governance Operating Models Today**

Source: Gartner 2026
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Governance is not static. Organizations often start with tight centralization to ensure platform stability and compliance, gradually moving toward a hybrid model that allows greater autonomy as business units gain AI literacy and maturity. The hybrid model lacks popularity because it is the hardest one to design and implement. Decentralization is warranted as the approach favored by traditionally decentralized organizations.

Impact Brief

Governance Operating Models Determine AI Success and Safety

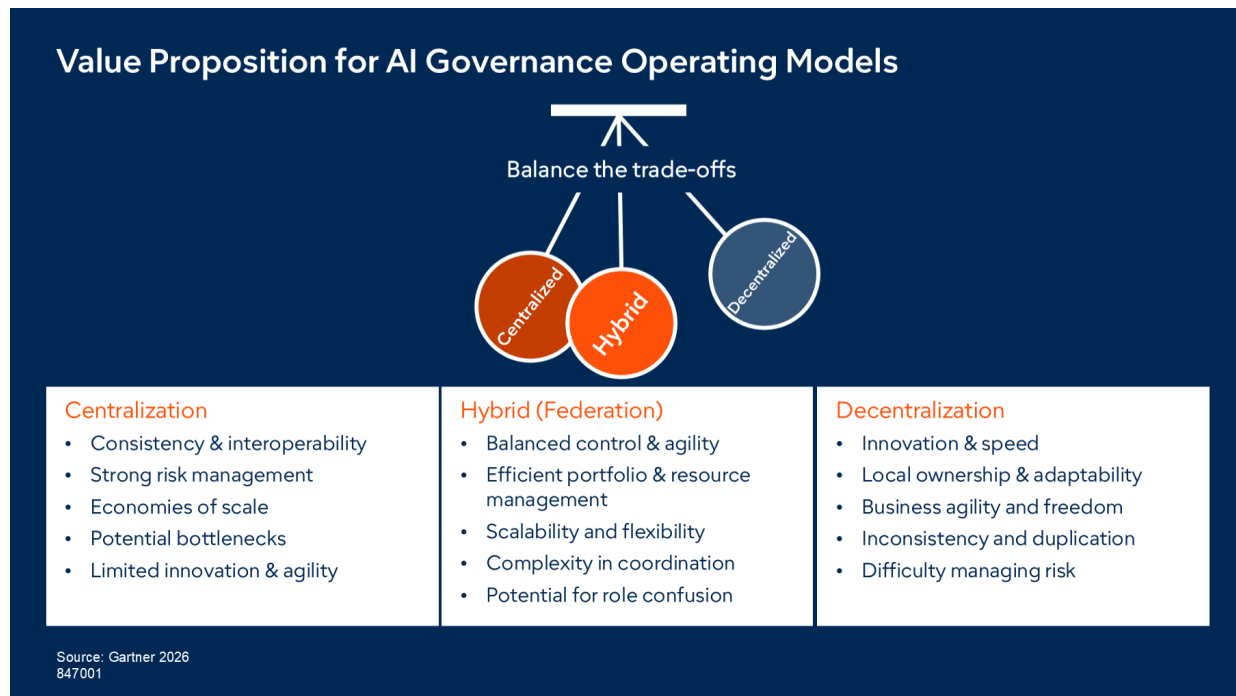
Start with a centralized model: Provide a strong, interoperable foundation to extract value from AI and manage risks. Shift to a hybrid operating model in time to adapt to evolving business demands without sacrificing control.

Centralized and hybrid governance frameworks enable organizations to:

- Ensure strategic alignment
- Manage complexity
- Maintain agile practices
- Scale

Fully decentralized models can lead to inefficiencies and inconsistent standards. Figure 2 illustrates this spectrum.

Figure 2: Value Proposition for AI Governance Operating Models



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High-maturity organizations should adopt a hybrid model as their primary governance operating strategy. A hybrid AI governance model typically leverages centralization for data and standards, decentralization for innovation and speed, and hybrid mechanisms for cross-cutting functions like funding and vendor management. Decision rights and accountability must be clearly delineated to balance control and agility. Complete decentralization is the niche approach acceptable for organizations that prioritize speed by pushing decision rights down to individual subsidiaries or specialized teams.

More Detail

Decision Rights and Accountability

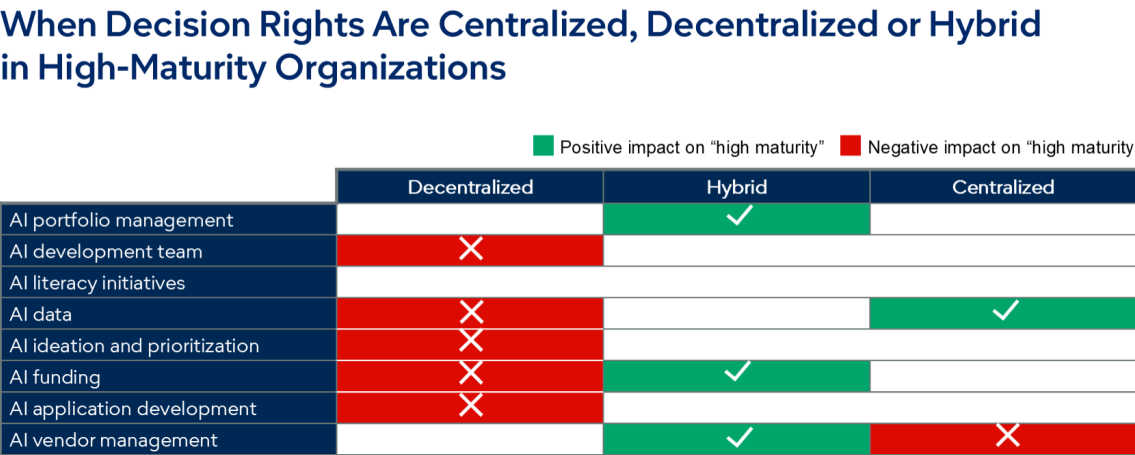
When designing an AI governance operating model, consider your AI strategies and priorities to focus on decision rights and accountability for the most critical AI areas and delegate some other responsibilities.

Make sure accountability and decision rights are well-defined and clearly communicated. Do not leave them to defaults and assumptions – this will lead to confusion, gaps, and duplicate efforts.

AI governance organizations are inherently cross-disciplinary, comprising representatives from key functions such as risk, compliance, security, ethics, architecture, applications, data, HR, and vendor management. Members of the AI governance council collectively own decisions within their areas of expertise, while some responsibilities – such as AI-ready data or privacy compliance – are formally delegated to specialized governance bodies like data or privacy governance organizations.

According to the 2024 Gartner AI Mandates for the Enterprise Survey, some activities in high-maturity organizations have a statistically significant positive or negative impact if centralized, decentralized, or hybrid (see Figure 3).

Figure 3: When Decision Rights Are Centralized, Decentralized or Hybrid in High-Maturity Organizations



n = 251; AI leaders whose organizations deployed at least one AI use case in production from high-maturity and low-maturity groups; excluding unsure/don't know/medium maturity
Q: For each of the following foundational AI capabilities, which option best describes your organization?
Source: 2024 Gartner AI Mandates for the Enterprise Survey
Note: The results were derived from the Binary Logistic Regression model; only the high-maturity and low-maturity samples are included in the dependent variables.
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Decision rights are typically structured as follows (however, they may vary depending on the specific organizational circumstances):

- Centralized oversight: Decision rights for the areas not listed in Figure 3 but important for your AI strategy. AI data governance should be centralized to ensure consistency and quality across the organization.
- Hybrid accountability: Accountability for AI funding and portfolio management should be shared in a hybrid framework to prevent the ocean-boiling effect of over-centralization while maintaining control.
- Vendor management should avoid full centralization, as it can negatively impact high-maturity environments. Leave some freedom for the lines of business to acquire software for their functions.
- Eliminate decentralized decision silos: Decentralization negatively impacts AI development teams, application development, and strategic ideation. These functions should be pulled into a more unified structure.
- AI literacy and less impactful areas not listed in Figure 3 could be fulfilled in any fashion that best suits your governance. For more operating model areas, refer to [AI Maturity Matters: Organizations' AI Operating Models](#).

Structure the organization to aggressively govern high-impact AI use cases and grant autonomy for low-risk activities, ensuring governance remains an enabler rather than a bottleneck.

Design the Right AI Governance Operating Model for Your Specific Organization

When it comes to your unique business composition, market presence, decision making, strategy, and culture, consider pros and cons for the three AI governance operating models. Your organization could have unique circumstances that warrant nonfrequent operating models.

Centralized Model

A centralized governance operating model consolidates strategic decision making, policy enforcement, data oversight, and AI infrastructure management within a central authority. This model is advantageous when stringent control, regulatory compliance, and operational consistency are primary concerns.

Centralized models are the most frequent choice of organizations that:

- Are early in their AI journey: Organizations just beginning to adopt AI often centralize to build foundational capabilities, standards, and controls.
- Operate in highly regulated or risk-averse industries: Sectors such as government, utilities, defense, or healthcare, where strict compliance, security, and risk management are paramount.
- Have a need for consistency and control: Firms where uniformity in processes, data management, and compliance is critical (e.g., national banks, public sector agencies).
- Are smaller or less complex: Organizations with fewer business units or a more straightforward structure, where centralization is practical and efficient.
- Aim for cost-efficiency: Centralizing resources and expertise can reduce duplication and optimize investments in talent and technology.

Examples of centralized AI governance include Itau Unibanco, Kaiser Permanente, and the Government of Canada.

Hybrid (Federated) Model

The hybrid governance operating model represents a blend of centralized oversight and decentralized execution. In this model, core policies, standards, and governance frameworks are set centrally, yet business domains and local teams are empowered to innovate and implement solutions in ways that best suit their contexts. This approach is emerging as a favored solution for balancing control with agility.

Hybrid models are the most frequent choice of organizations that:

- Have mature AI capabilities: Enterprises with established AI practices seeking to scale AI responsibly across the organization.
- Are large and complex: Multinational corporations, conglomerates, or enterprises with multiple business units/divisions (e.g., banks, global manufacturers, large healthcare systems).
- Have diverse business needs: Organizations where business units serve different markets, products, or customer segments (e.g., consumer goods companies, diversified technology firms).

- Are regulated but need agility, especially due to regional dynamics in rules and regulations. Firms in regulated industries (like financial services, pharmaceuticals, and insurance) that must balance compliance with the need for innovation.
- Require strategic alignment and local execution: Organizations where central oversight is needed for risk and compliance, but local teams must innovate to remain competitive.

Unilever, Siemens, Texas Department of Transportation, and Schneider Electric are sample organizations with hybrid AI governance models.

Decentralized Model

A decentralized governance operating model pushes governance decisions to business units, empowering local teams to manage AI initiatives. This approach is often adopted in organizations where local autonomy is critical for responding swiftly to customer needs and market dynamics, but it is a wrong approach otherwise.

Decentralized governance is chosen by organizations that:

- Prioritize speed and innovation: Startups, scale-ups, or tech companies where rapid experimentation is critical.
- Have autonomous business units: Organizations structured as a collection of independent or loosely coupled units (e.g., holding companies, some consulting firms).
- Operate in less regulated environments: Sectors with fewer compliance demands, allowing greater autonomy.
- Value entrepreneurial culture: Firms that encourage local ownership, initiative, and accountability. Often AI is implemented bottom-up, as a grass-roots initiative.

Sample companies with decentralized governance include Alphabet and Berkshire Hathaway.

Contributors

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Evidence

2024 Gartner AI Mandates for the Enterprise Survey. This study was conducted to understand how AI and generative AI (GenAI) are being adopted by enterprises, focusing on areas such as AI strategy, data, governance, literacy, engineering, organization, portfolio, and value, to assist clients in keeping pace with AI's rapid evolution. The research was conducted online from October through December 2024 among 432 respondents from the U.S. (n = 181), the U.K. (n = 70), France (n = 50), Germany (n = 50), India (n = 51), and Japan (n = 30). Quotas were established for company sizes and for industries to ensure a good representation across the sample. Organizations were required to have deployed at least one AI use case in production. Respondents were screened for C-level executives (e.g., chief AI officer, chief data officer, chief data scientist, chief digital officer, chief information officer, chief operating officer, chief technology officer, or equivalent) or roles above vice presidents. All respondents were required to have high involvement in at least one AI initiative. Disclaimer: The results of this survey do not represent global findings or the market as a whole, but reflect the sentiments of the respondents and companies surveyed.

Recommended by the Authors

Some documents may not be available as part of your current Gartner subscription.

[Reference Guide for AI Governance](#)

[Governance Challenges and Solutions for AI Agents](#)

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